Bata India Ltd.

Q3FY23 Result Update | Footwear

Topline and Margin Recovery Awaited

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

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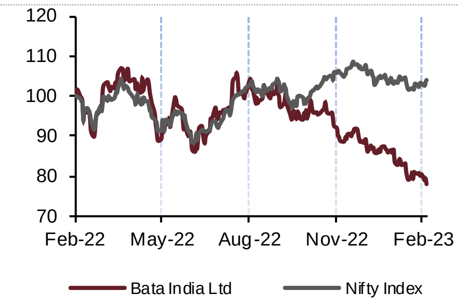
Rating	TP (Rs)	Up/Dn (%)
Book Profit	**1,440**	**-2**
Market data		
Current price	**Rs**	**1,476**
Market Cap (Rs.Bn)	(Rs Bn)	190
Market Cap (US$ Mn)	(US$ Mn)	2,291
Face Value	Rs	5
52 Weeks High/Low	Rs	1,989 / 1,464
Average Daily Volume	('000)	122
BSE Code		**500043**
Bloomberg		BATA.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	50.16	50.16
Public	49.84	49.84
Total	**100**	**100**

Source: BSE

Bata Q3FY23 Results were below our expectations

- **Revenue** at Rs 9002mn grew by 7% YoY and 8.5% over Q3FY20.
- **CAGR over Q3FY20 stands at only 3%**
- Bata added 65 **stores** in Q3FY23 to reach 2021stores. The growth was mainly led by +39 franchise and +25 SIS stores
- **EBIDTA margins** stood at 22.9% as against 20% in Q3FY22 and 19.4% QoQ. However is still lower than 31.7% recorded in Q3FY20
  - Raw Mat to Revenue stood at 45.2% v/s 47.3% YoY and was 45% on a QoQ basis, basically on account of product mix.
  - Other Expenses stood at 20.5% as against 20.1% YoY and 22.7% QoQ.
- EBIDTA in absolute terms stood at Rs 2061mn up by 22% on a YoY basis.
- PAT stood at 831mn up by 15% YoY and -29% on a QoQ basis.

Outlook:

- Premium category drive growth, mass category continue to remain sluggish
- Contribution from, Sub Rs 1000 and Between Rs 500-1000 decreased by 10%. Less than Rs 500 contribute ~ 22% of Revenue.
- Gst rate increase and rise in inflation impacted mass category i.e. Below Rs 1000 (i.e.50% of total) portfolio got impacted
- Elevated run-rate on other expenses to continue due to higher spends on IT and campaigns
- Target to open 500 franchise would be accomplished before time i.e. 2.5years v/s 3 year planned.

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net sales	17,085	23,877	34,561	38,040	41,982
growth (%)	*(44.1)*	*39.8*	*44.7*	*10.1*	*10.4*
EBIDTA	1,622	4,185	7,829	8,883	9,844
Margins	9	18	23	23	23
PAT(adj)	(847)	1,030	3,099	3,698	4,117
growth (%)	*(125.7)*	*(221.6)*	*200.9*	*19.3*	*11.3*
EPS (Rs)	(6.6)	8.0	24.1	28.8	32.0
P/E (x)	(223.8)	184.1	61.2	51.3	46.0
P/B (x)	10.8	10.4	13.3	11.0	9.1
EV/EBITDA (x)	110.1	43.0	23.5	20.4	18.1

Source: Company

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Bata Conference Call KTA's

Important Financials

- Volume over pre-covid: -5% YoY and +2to 3% for 9MFY23
- Overall ASP @ Rs 772 +13% QoQ and YoY driven by Premiumization with no price increase taken.
- Sneaker growth +20% over normal business
- Hush Puppies grew by 20%+ and hush puppies exclusive @ +30%
- ASP average across portfolio: Sneakers Rs 2000 || Hush Puppies Rs 4000 || Floatz Rs 1400 || Comfit Rs 2100
- Premium Category continued to do better i.e. Floatz +773% YoY || Hush Puppies by 121% YoY.
- Comfit +122% YoY. (Comfit price range Rs 650 to Rs 2000 MRP)
- School business bounced back strongly
- Raw mat inflation mainly EVA,PU and rubber has reduced.
- **Gross Margins explanation:** Average Sales per COCO store is Rs 17mn to Rs 20mn which has not increased over pre-covid. Franchise store average is 50% of COCO but only 65% gets recorded in Bata's turnover which generates lower gross margins but EBIDTA levels profitability is similar
- Q3FY23 saw high investments on campaigns, sneaker campaign continues.
- New ERP would be implemented in a phase manner starting from June-23, initially starting with finance.

SNEAKER Proposition (a pillar of growth)

- Growth continued @ 142% YoY
- Penetration now @ 80% of network
- Contribution on Bata.in increased and stands at ~33%

Floatz:

- Revenue run rate of Rs 600mn achieved in 18 months plan to reach Rs 1bn
- YoY growth at 773%
- Presence in 1000+ stores

E-COMMERCE

- E-Comm Sales 1.5x Q3FY22 || complains reduced to 3.5% v/s 5.1% QoQ
- Women category grew 1.3x YoY
- Digital penetration @ 10% Below 11% in Q2FY23

STORES & Distribution

- New/ Relocation of Doors: COCO|Franchise|SIS= 10 || 30 || 28
- 35 Renovations & Facelift in Q3FY23
- Stores total 2021 v/s 1956 QoQ and 1772 YoY
- Store Q3FY23: break-up 64% COCO i.e.1319 || 19% Franchise i.e. 392 || 17% SIS i.e. 310 (gross COCO opened were 18 closed 17)
- Store Q3FY22: Break-up 72% COCO i.e. 1276 || 16% Franchise i.e. 283 || 12% SIS i.e. 213
- Franchise Q3FY23 Store additions +39 ***(38% growth on a YoY basis and ~2x since Dec-20)*** || Towns 330+ || Vision 500 stores
- Stores opening: maintain 20:80 ratio between COCO and Franchise store opening on long-term
- Towns Covered 1152 v/s 1005 YoY and 1108 QoQ (mapped directly)
- 43% distributors reached v/s 42% in Sept-22.
- Distribution business grew by 30% pre-covid contributes ~ 14-15% of Revenue v/s 11% Pre-covid

Other KTA's

- Mens Dress category continues to lead. Apparel project to be live in H2FY24 an adjacent category which will contribute to sale and profitability
- Largest warehouse handling ~40% volume now on 3PL model, will generate efficiencies in longterm.
- Rolled out news lines in Sunshine and Comfit
- 15% Retail franchise on flexi manpower as per Q2FY23 and increased by 8% on a QoQ basis . Pre-Covid it was 3%.

Quarterly Snapshot

Particulars (Rs Mns) Consolidated	Q3FY23	Q3FY22	*Growth YoY*	Q2FY23	*Growth QoQ*	Q3FY20	*Growth Over Q3FY20*
Net Sales	9002.1	8413.02	*7.0*	8297.55	*8.5*	8296.44	8.5%
Other Income	75.05	135.38	*(44.6)*	79.71	*(5.8)*	170.61	-56.0%
TOTAL INCOME	**9077.15**	**8548.4**	***6.2***	**8377.26**	***8.4***	8467.05	7.2%
Cost of Materials Consumed	-400.41	-741.44	*(46.0)*	-747.23	*(46.4)*	-493.31	-18.8%
Purchase of Stock in Trade	-2022.43	-2924.97	*(30.9)*	-4048.92	*(50.1)*	-1735.15	16.6%
Changes in Inventories	-1648.43	-315.66	*422.2*	1060.8	*(255.4)*	-1035.63	59.2%
Employee Cost	-1028.92	-1049.59	*(2.0)*	-1070.45	*(3.9)*	-974.66	5.6%
Other Expenses	-1841.08	-1695.14	*8.6*	-1882.68	*(2.2)*	-1301.51	41.5%
EBIDTA	2135.88	1821.6	*17.3*	1688.78	*26.5*	2796.52	-23.6%
EBIDTA (Excl O. Income)	**2060.83**	**1686.22**	***22.2***	**1609.07**	***28.1***	2625.91	-21.5%
Less: Depreciation	-753.79	-615.46	*22.5*	-735.7	*2.5*	-764.51	-1.4%
PBIT	1382.09	1206.14	*14.6*	953.08	*45.0*	2032.01	-32.0%
Less: Interest Cost	-285.76	-233.36	*22.5*	-271.67	*5.2*	-285	0.3%
PBT (Before Exceptional)	**1096.33**	**972.78**	***12.7***	**681.41**	***60.9***	1747.01	-37.2%
Exceptional							
PBT (Post Exceptional)	1096.33	972.78	*12.7*	681.41	*60.9*	1747.01	-37.2%
Tax	-265.22	-249.19	*6.4*	-170.31	*55.7*	-574.98	-53.9%
PAT (Reported)	831.11	723.59	*14.9*	511.1	*62.6*	1172.03	-29.1%
PAT (Adjusted)	**831.11**	**723.59**	***14.9***	**511.1**	***62.6***	1172.03	-29.1%
Equity	642.64	642.64	-	642.64	-	642.64	
FV	5	5		5		5	
EPS (on adjusted PAT)	6.5	5.6	*14.9*	4.0	*62.6*	9.1	
OPM	22.9%	20.0%		19.4%		31.7%	
NPM (Reported PAT)	9.2%	8.5%		6.1%		13.8%	
Tax Rate	-24.2%	-25.6%		-25.0%		-32.9%	
% of Total Operating Income							
RAW MATERIALS	-45.2%	-47.3%		-45.0%		-39.3%	
Employee Cost	-11.4%	-12.5%		-12.9%		-11.7%	
Other Expenses	-20.5%	-20.1%		-22.7%		-15.7%	
EXPENDITURE	-77.1%	-80.0%		-80.6%		-68.3%	

Source: Company, Dalal & Broacha Research

Valuation & Outlook

In case of Bata pick-up over Pre-Covid levels is just 8.5% for Q3FY23 and 10% for 9MFY23 i.e. on CAGR basis the growth is 3% and 2.8% respectively which is lower than its long-term CAGR of 7% between CY13 to FY19.
Q3FY23 Margins too have seen a contraction of ~ 876bps points over Q3FY20 due to lower volume growth, change in channel mix and higher spends on campaigns & IT.

We believe the Brand “Bata” has a solid trustworthy recall value and the management has put-in efforts to connect with the youth and worked on distribution.

However considering the competitive scenario and change in consumer preference; getting back to same levels of CAGR growth with similar level of peak-level margin would take a longer-period of time than anticipated earlier. Hence we expect the stock trade in narrow band.

We have re-worked our numbers post conference call and at CMP of Rs 1475 Bata trades at 51x FY24e EPS of Rs 29 and 46x FY25e EPS of Rs 32. We continue to recommend **Booking Profits at these levels**.

Financials

Bata India Ltd

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Operating Incom	17,084.8	23,877.2	34,561.2	38,040.2	41,981.6
Raw Materials	(8,375.0)	(10,868.1)	(15,422.3)	(16,813.8)	(18,555.9)
Employee Cost	(3,398.2)	(3,786.8)	(4,175.5)	(4,593.1)	(5,052.4)
Other Expenses	(3,689.8)	(5,037.3)	(7,134.2)	(7,750.2)	(8,528.9)
Total Expenses	(15,463.0)	(19,692.3)	(26,732.1)	(29,157.0)	(32,137.2)
Operating Profit	**1,621.8**	**4,184.9**	**7,829.1**	**8,883.2**	**9,844.4**
Depreciation	(2,647.5)	(2,419.6)	(2,942.6)	(3,166.5)	(3,581.5)
PBIT	(1,025.7)	1,765.3	4,886.5	5,716.7	6,263.0
Other income	940.9	559.9	350.0	396.0	570.6
Interest	(1,035.5)	(928.2)	(1,092.8)	(1,168.6)	(1,328.9)
Extraordinary Items					
Profit before tax	(1,120.3)	1,397.0	4,143.6	4,944.1	5,504.7
Provision for tax	273.3	(367.1)	(1,044.2)	(1,245.9)	(1,387.2)
Reported PAT	**(847.0)**	**1,029.9**	**3,099.4**	**3,698.2**	**4,117.5**
Extraordinary Items	-	-	-	-	-
Minority Interest	0.0	0.0	0.0	0.0	0.0
Adjusted PAT	**(847.0)**	**1,029.9**	**3,099.4**	**3,698.2**	**4,117.5**

Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	(893.1)	1,029.9	3,099.4	3,698.2	4,117.5
Add: Dep. & Amort.	2,647.5	2,419.6	2,942.6	3,166.5	3,581.5
Cash profits	**1,754.4**	**3,449.6**	**6,042.1**	**6,864.6**	**7,699.0**
(Inc)/Dec in					
-Sundry debtors	(161.0)	76.5	(229.7)	(95.3)	(108.0)
-Inventories	2,654.0	(2,626.3)	(1,138.5)	(991.3)	(1,123.0)
-Loans/advances	1,238.1	8.5	-	-	-
-Current Assets	(489.8)	(228.9)	(195.0)	(298.0)	(327.8)
-Sundry creditors	(636.6)	164.2	1,353.9	533.7	668.2
-Others	163.3	577.7	176.6	184.7	204.2
Change in working capital	2,768.1	(2,028.2)	(32.6)	(666.2)	(686.4)
CF from Oper. activities	**4,522.4**	**1,421.4**	**6,009.5**	**6,198.4**	**7,012.5**
CF from Inv. activities	**(285.7)**	**(3,199.2)**	**(5,829.4)**	**(4,016.7)**	**(5,442.5)**
CF from Fin. activities	**(2,907.8)**	**497.4**	**(4,210.9)**	**312.6**	**1,376.2**
Cash generated/(utilised)	**1,329.0**	**(1,280.4)**	**(4,030.8)**	**2,494.3**	**2,946.2**
Cash at start of the year	9,639.2	10,968.2	9,687.7	5,657.0	8,151.3
Cash at end of the year	10,968.2	9,687.7	5,657.0	8,151.3	11,097.5
	-	-	-	-	-

Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	642.6	642.6	642.6	642.6	642.6
Reserves	16,938.3	17,503.9	13,599.0	16,654.5	20,129.4
Net worth	**17,580.9**	**18,146.5**	**14,241.6**	**17,297.1**	**20,772.0**
Def. Tax Liab.+Minori	-	-	-	-	-
Longterm Debt	-	-	-	-	-
Short Term Debt	-	-	-	-	-
Total debt	-	-	-	-	-
Lease Liability	8,596.7	8,912.9	11,214.1	11,992.2	13,636.6
CAPITAL EMPLOYED	**26,177.5**	**27,059.4**	**25,455.7**	**29,289.3**	**34,408.7**
Total fixed assets	**3,237.7**	**3,104.2**	**3,613.9**	**3,660.4**	**3,822.8**
Right to Use of Asse	8293.5	9206.6	11583.6	12387.3	14085.9
Goodwill	-	-	-	-	-
Investments	-	-	-	-	-
Inventories	6,082.8	8,709.1	9,847.6	10,838.9	11,961.9
Sundry debtors	793.7	717.2	946.9	1,042.2	1,150.2
Cash & bank	10,968.2	9,687.7	5,657.0	8,151.3	11,097.5
Loans & advances	8.5	-	-	-	-
Other current assets	2,556.2	2,785.0	2,980.0	3,278.0	3,605.8
Sundry creditors	(4,397.3)	(4,561.5)	(5,915.4)	(6,449.1)	(7,117.3)
O. Current Liablities	(917.2)	(1,491.2)	(1,640.3)	(1,804.4)	(1,984.8)
Provisions	(1,832.5)	(2,139.3)	(2,690.7)	(2,888.5)	(3,286.6)
Working capital	**13,262.4**	**13,707.0**	**9,184.9**	**12,168.3**	**15,426.6**
Deferred Tax Assets	1,384.0	1,041.6	1,073.3	1,073.3	1,073.3
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	**26,177.5**	**27,059.4**	**25,455.7**	**29,289.3**	**34,408.7**

Ratios	FY21	FY22	FY23E	FY24E	FY25E
OPM	9.5	17.5	22.7	23.4	23.4
NPM	(4.7)	4.2	8.9	9.6	9.7
Tax rate	(24.4)	(26.3)	(25.2)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	(44.1)	39.8	44.7	10.1	10.4
Operating Profit	(80.5)	158.0	87.1	13.5	10.8
PAT	(125.7)	(221.6)	200.9	19.3	11.3
Per Share (Rs.)					
Net Earnings (EPS) (FV 5)	-6.6	8.0	24.1	28.8	32.0
Cash Earnings (CPS)	13.7	26.8	47.0	53.4	59.9
Dividend	4.0	4.0	54.5	5.0	5.0
Book Value	136.8	141.2	110.8	134.6	161.6
Free Cash Flow	40.7	13.2	45.6	49.9	56.0
Valuation Ratios					
P/E(x)	**(223.8)**	**184.1**	**61.2**	**51.3**	**46.0**
P/B(x)	10.8	10.4	13.3	11.0	9.1
EV/EBIDTA(x)	110.1	43.0	23.5	20.4	18.1
Div. Yield(%)	0.3	0.3	3.7	0.3	0.3
FCF Yield(%)	**2.8**	**0.9**	**3.1**	**3.4**	**3.8**
Return Ratios (%)					
ROE	(4.8)	5.7	21.8	21.4	19.8
ROCE (Excluding Financial Liability)	(5.8)	9.7	34.3	33.1	30.2
ROCE (Excluding Cash & Bank)	-6.7	10.2	24.7	27.0	26.9

Source: Dalal & Broacha Research, Company

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